

If the demand for candor is not met even when you let your opinions be known, you can take an even more forceful action. The ultimate nightmare of fund managers is that you vote with your feet, redeem your shares, and walk away from the fund. Of course, many investors redeem their shares under the most normal of circumstances. Reallocating your assets in order to increase or reduce your common stock exposure is one obvious reason. Achieving your original financial goals *demand*s redemption (e.g., sooner or later your accumulated education fund will be spent on college tuition bills). Unfortunately, leaving a fund because the fund has let you down may involve otherwise unnecessary penalties. The most obvious are (1) the cost of the sales commission you originally may have paid, especially onerous after a short period of time (i.e., a 5% sales commission reduces a fund's one-year return by -5%, but a five-year return by "only" -1% per year); and (2) the taxes payable on any capital gains you would realize if the net asset value of your shares has increased. Nonetheless, redemption of shares is the ultimate weapon of the active investor.

THE SKEPTICAL INVESTOR

Unlike the active investors, skeptical investors do not yet own a particular fund. They are looking at the information presented to them and deciding whether or not to invest their assets. In this age of aggressive fund marketing and promotional hype, the industry has earned their skepticism. Three areas come quickly to mind: in advertising, the exaggeration of the importance of a fund's past performance; in calculating yields, the inadequate disclosure of low credit quality or substantial use of risky derivative instruments to obtain exaggerated yields; and in promotion, the development of new fund concepts that are based on unproven or untested principles.